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California Lawmakers Deliver Major Democratic Climate, Housing And Labor Wins To Newsom

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Three days before the scheduled end of the legislative session this week, Sen. Lena Gonzalez introduced legislation to limit Los Angeles' controversial recent "mansion tax" on high-value real estate deals. She backed down just a day later.

"We wanted more time," she said. "We wanted to do more due diligence ... There were so many other issues on the docket."

The California Legislature slogged through a marathon final week this week, extending its session into Saturday to push through a major package of climate and energy policies. The Saturday vote was needed because Gov. Gavin Newsom, Assembly Speaker Robert Rivas and Senate President Pro Tem Mike McGuire didn't finalize their privately negotiated deal on how to extend the state's cap-and-trade greenhouse gas emissions program until early Wednesday, past the normal legislative deadline for introducing bills.

Lobbied heavily by interest groups across the state, the package took up significant energy in the final days of the session.

Leaders also rushed through several Newsom administration budget measures that shield construction for the Los Angeles Olympics from environmental review, prop up struggling child care centers, bolster the state's ability to recommend immunizations and allocate $70 million in new state general fund spending.

The result? Other measures ran out of time. And, many Democrats were left grumbling about how business gets done on consequential measures — but they still overwhelmingly approved them.

Sen. John Laird, a Santa Cruz Democrat who has served in the Legislature for a combined 11 years, said the week seemed to contain "the most number of issues that are big issues that have been addressed in the last days of session."

"To the extent any of them had already been through the policy committees, that's great," he said. "To the extent they're seeing sunshine for the first time, then not so great."

Assembly Budget Chair Jesse Gabriel, an Encino Democrat, attributed the time crunch partly to Democrats' whirlwind weeklong efforts last month to place a congressional redistricting plan on the November ballot.

Gabriel said he shares the frustration with the lengthy session. "It's a very clear negotiating strategy to drag things out to try to create leverage at the last minute," he said.

Speaking to reporters afterward, Rivas said the January wildfires, President Donald Trump's policies and the state's structural budget deficit also added to the Legislature's work this year. But he deemed it"the most productive year over the past decade," celebrating the energy and climate deals as well as a historic rollback of the state's environmental law to clear the way for development.

"With unity, with urgency and focus, this Assembly delivered," he said in a floor speech.

Disputed antisemitism measure goes to governor

Lawmakers did approve a series of high-profile measures to fight federal immigration crackdowns, boost transit-oriented housing, rein in the tech industry and expand labor’s reach.

This week, the Legislature OK’d a pair of proposals to ban local, out-of-state and federal law enforcement from wearing masks on duty, a reaction to sweeping immigration raids by unidentified agents. They passed a labor-championed measure to allow Uber and Lyft drivers to unionize, tying it to an industry-friendly measure to lower companies’ insurance costs. They also gave the final greenlight to Senate Bill 79, a controversial measure allowing developers to build denser housing near transit regardless of local zoning regulations.

In the wee hours of Saturday morning, lawmakers agreed to appropriate $10 million per year toward funding local news. Google has agreed to commit $10 million toward the effort as well.

Also heading to Newsom’s desk is a controversial measure that aims to prevent antisemitism in schools. The bill, supported by the legislative Jewish Caucus, was passed following emotional hearings and animated debates. Following the bill’s passage, a few pro-Palestinian protesters began shouting from the Assembly gallery, yelling, “You will all have blood on your hands" as lawmakers continued their business.

While supporters argue the legislation is necessary to protect Jewish students from discrimination, opponents, including major education associations and the American Civil Liberties Union’s political action arm, argued for months that the proposal risked “weaponizing" public education and censoring Palestinian-related instruction in K-12 schools.

Another bill awaiting Newsom’s signature would require human oversight when an employer primarily uses artificial intelligence for disciplinary purposes.

But lawmakers punted multiple tech measures to next year, including a proposal to require tests of automated decision systems before they can be used in important personnel decisions. This is at least the second time such efforts have stalled, amid strong opposition from business associations and health care providers.

They also shelved a measure that would have restricted workplace surveillance by public and private employers, a victory for the California Chamber of Commerce.

A controversial criminal justice bill that drew strong opposition from moderate Democrats failed to advance. The measure would have made low-level felony offenders eligible for diversion programs, allowing them to avoid jail time.

Some Democrats including Stephanie Nguyen of Elk Grove, Maggy Krell of Sacramento and Anamarie Avila Farias of Concord joined Republicans in opposing the bill.

Property tax limit, environmental rules fall short

The pileup of priorities caused some issues to fall by the wayside.

Gonzalez’s bill would cap the Los Angeles voter-approved tax on high-value real estate deals, currently 4 to 5.5% of the property’s value, over concerns it’s dampening construction.

The measure sparked opposition from tenants’ advocates, who campaigned for the tax to raise affordable housing funds, and from the Howard Jarvis Taxpayers Association, which opposes the tax. The bill is written to kneecap an anti-tax ballot initiative the association filed for next fall’s election.

The Long Beach Democrat said she’ll pick up the issue next year, and said she couldn’t meet with all sides this year in part because of the volume of priorities this session.

Another issue that remains unresolved: How to restore environmental review requirements for the construction of certain manufacturing plants — a priority for environmental justice advocates. Newsom earlier this year strong-armed lawmakers into loosening those reviews, but McGuire and other Democratic leaders promised in June to revisit it this fall.

But top Democrats failed to agree, angering colleagues. In a mad dash to show their efforts, lawmakers rolled out three last-minute proposals, but the only one to pass does little to address environmental concerns.

Rivas called the lack of progress “unfortunate," and promised to convene a working group next year.

“Certainly it is unacceptable that that work was not completed by the end of session," he told reporters.

Sen. Scott Wiener, a San Francisco Democrat who chairs the budget committee, attributed the lack of a deal to a disagreement with the Assembly, and said redistricting took up negotiating time

“We had a lot on our plate, and it delayed resolution of some issues," he said. “That being said, it’s all happening ... I don’t want to be here on a Saturday, but so be it."

Frustration permeates California Senate

As the session dragged to its conclusion, some lawmakers were ready for new leadership.

Frustrations spilled over Wednesday night in the Senate Budget Committee, when several lawmakers of both parties criticized Newsom’s administration and legislative leaders for asking them to approve millions of dollars of state spending with little notice. The bills had been unveiled the day before, with no time left to amend them.

Several Democrats took issue with how leaders steered some funds to local projects without their input.

Sen. Chris Cabaldon, a Napa Democrat, singled out projects in the North Coast that would get funding and said he found “no basis" for why Californians and lawmakers statewide weren’t consulted.

“There are more than just a handful of disadvantaged communities, plus the North Coast, in California," he said.

McGuire happens to represent that region. Altogether, his district would get upwards of $85 million through the bill for environmental, housing, transportation and fire protection projects. That includes about $50 million from the climate bond for the Great Redwood Trail, a plan McGuire has championed to convert 231 miles of old railway into a trail in Mendocino, Trinity and Humboldt counties.

Cabaldon slammed the “concentration of decision-making power that has emerged through this process this year." In an interview, he said he wasn’t blaming anyone specifically, but“everyone is frustrated" by how the week played out.

Sen. Caroline Menjivar, a Van Nuys Democrat, was more frank.

“The buck stops with the people in charge," Menjivar said. “How everything transpired this week left a sour taste in people’s mouths. I don’t think a majority of us would want us to repeat this next year."

After being told in the spring that lawmakers needed to cut funding for undocumented immigrants’ health coverage, she was angered not to have gotten the chance to weigh in on new spending, and complained to Senate leadership.

Following all the griping, McGuire announced this week that the Senate was moving up the date that incoming Senate leader Sen. Monique Limón of Santa Barbara would take over, to Nov. 17 instead of in January.

CalMatters’ Alexei Koseff and Ben Christopher contributed reporting.

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